

J Sainsbury plc

Preliminary Results

2020/21



J Sainsbury plc

Simon Roberts
Chief Executive Officer



J Sainsbury plc

Kevin O'Byrne
Chief Financial Officer



Agenda

01



Financial highlights

02

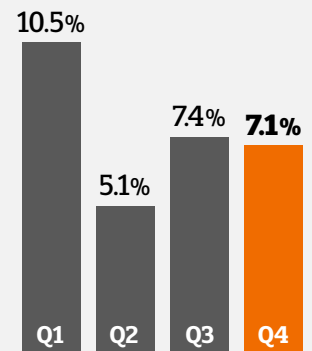


Operational performance

Retail sales growth by category

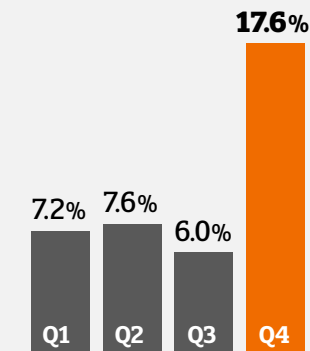
Grocery

FY Sales
up **7.8%**



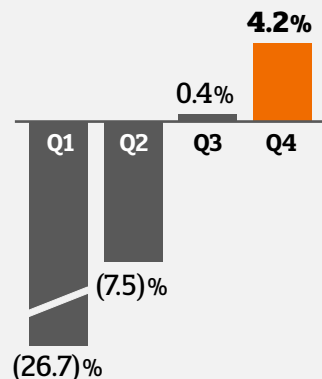
General Merchandise

FY Sales
up **8.3%**



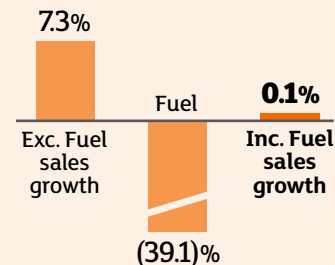
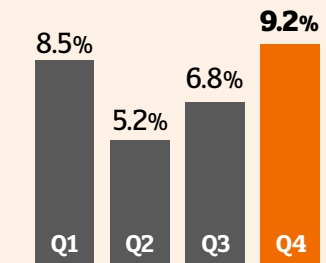
Clothing

FY Sales
down **8.5%**



Total Retail

FY Sales growth¹
up **7.3%**

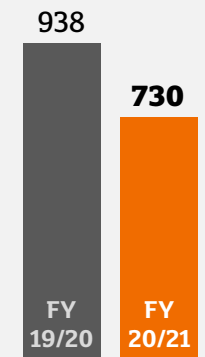


¹ Exc. fuel

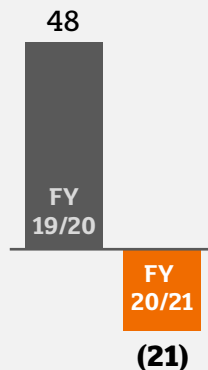
Group performance overview

Retail operating profit¹

down **22%**

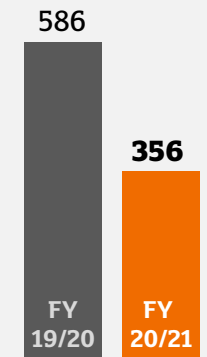


Financial Services operating profit¹

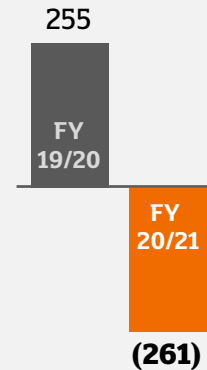


Underlying profit before tax

down **39%**



Statutory profit / loss before tax



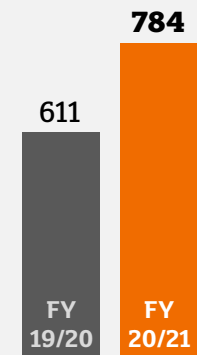
All figures £m

¹ Underlying

Group performance overview

Free cash flow

up **28%**

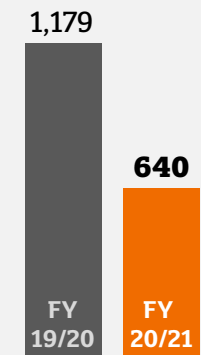


Working capital movement

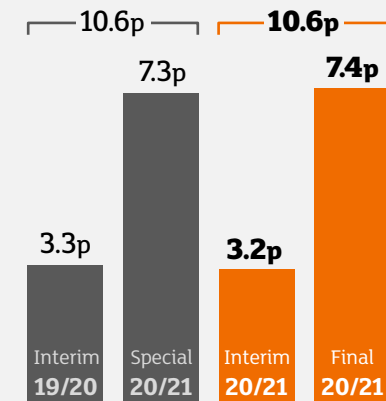


Net debt excluding leases

down **£539m**



Dividend per share¹



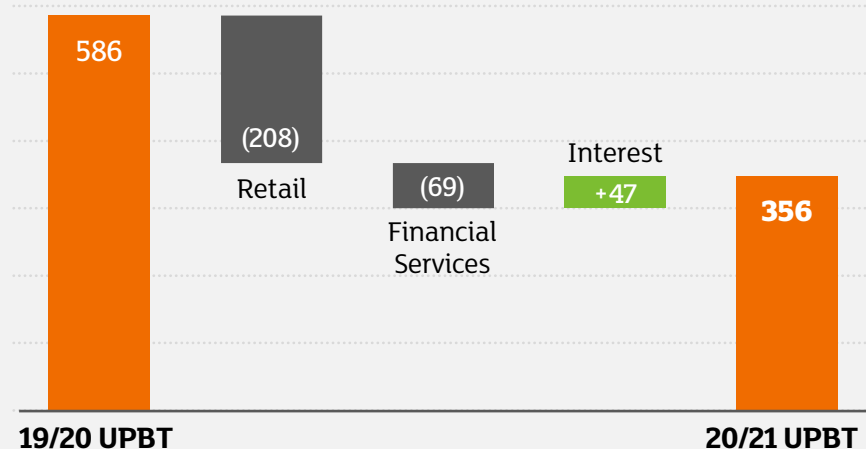
All figures £m

¹ Special dividend in 2020/21 paid in lieu of final dividend for 2019/20 following the deferral of dividend decision. The total dividend paid in respect of each year is equal at 10.6p per share

Underlying profit before tax

UPBT YoY movement

£m



Retail COVID costs £m	H1 20/21	H2 20/21	FY 20/21
Colleague costs ¹	(179)	(139)	(318)
Operating costs ²	(84)	(29)	(113)
Other	(28)	(26)	(54)
Total Retail COVID costs³	(291)	(194)	(485)

¹ Higher absence costs, pay for vulnerable colleagues isolating, front line colleague bonus

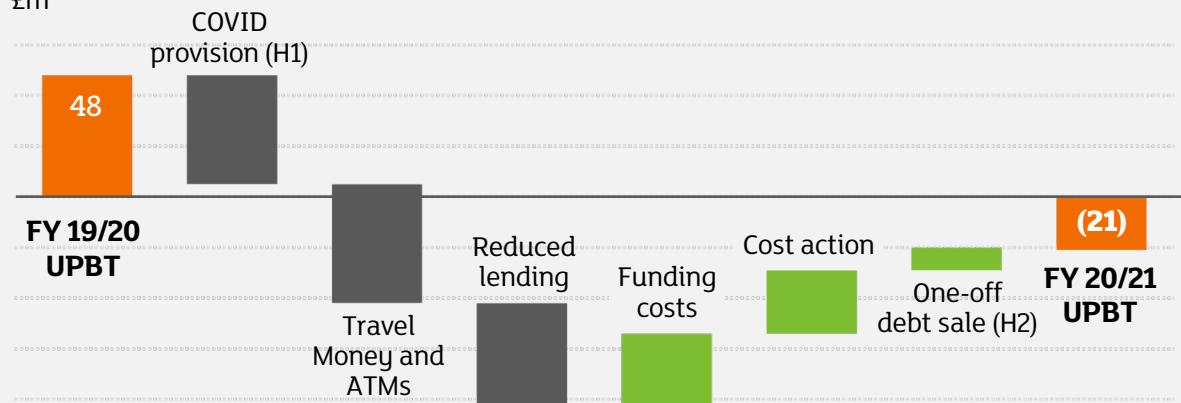
² Customer and colleague protection measures, distribution costs, reduced rental income

³ Does not include business rates relief of £43m for closed Argos stores in FY20/21

Financial Services: UPBT bridge

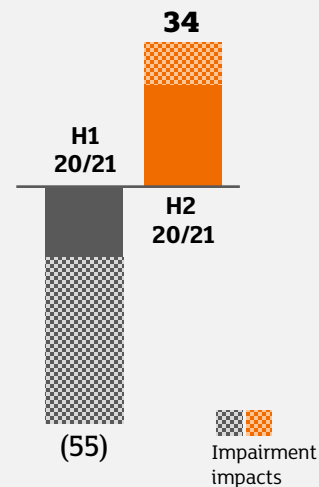
UPBT waterfall

£m



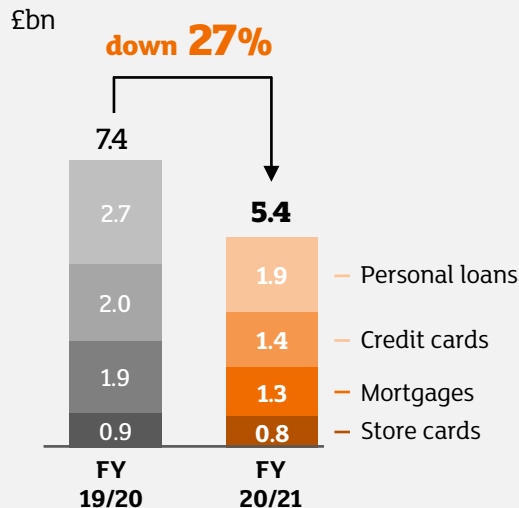
H1/H2 Split

£m



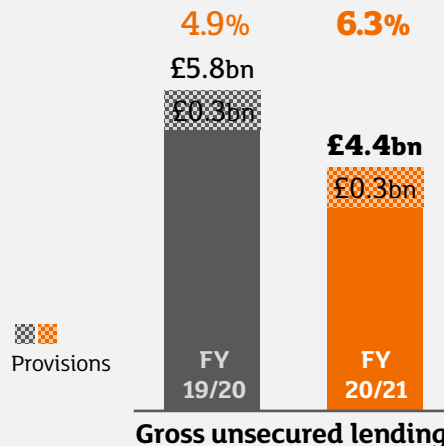
Financial Services: performance drivers and coverage

Customer assets

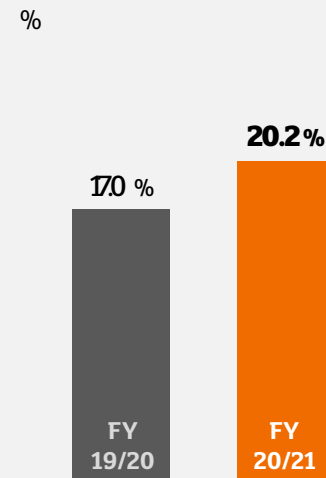


Credit provisions

Unsecured lending Coverage Ratio



Total Capital Ratio



Items excluded from underlying results

£m	FY 2020/21	FY 2019/20
Restructuring programmes ¹	(423)	(202)
Impairment charges (Retail and FS) ^{2,3}	(220)	(126)
Financial Services transition and other	(17)	(29)
ATM business rates reimbursement	42	-
IAS 19 pension income/(expenses)	6	19
Property, finance and acquisition adjustments	(5)	7
Total items excluded from underlying results	(617)	(331)

Of which cash £(54)m

Guidance

- Restructuring, impairment and integration one-off costs of £900m-£1bn from FY20/21 to FY23/24 (c. £300m cash). Of this, £643m incurred in FY20/21
- We expect to incur the remaining costs evenly over the next 3 years, including £125m of restructuring cash costs in 2021/22

¹ PY restructuring includes Property Strategy Programme and Retail Restructuring. Impairment charges and closure provisions relating to Argos store closures and logistics integration

² The effect of COVID-19 and accelerated structural integration programme are deemed an impairment indicator in line with IAS 36.

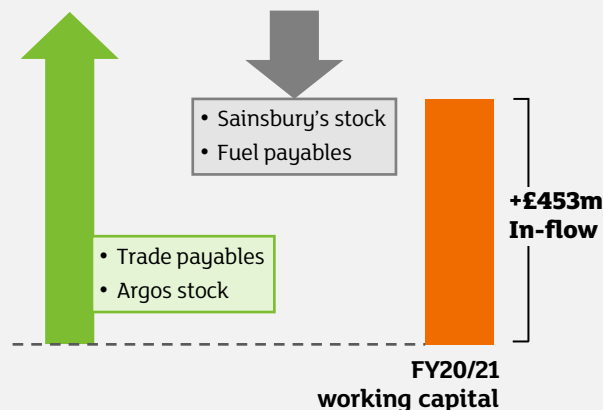
A full review has therefore been performed covering Retail and Financial Services assets

³ PY impairment charges were reported within the Property Strategy Programme

Net debt and Retail free cash flow

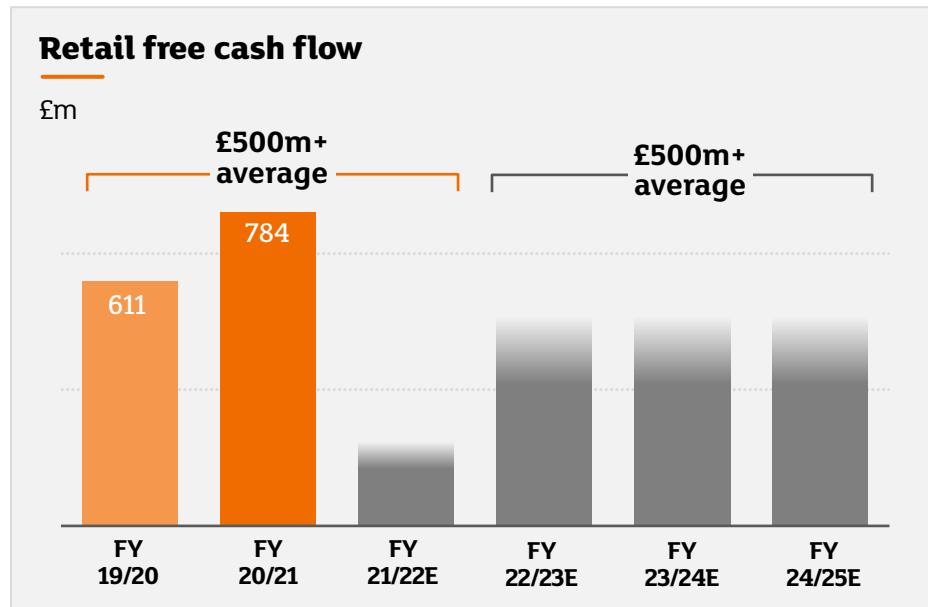
£m – IFRS 16 basis	FY 2020/21	FY 2019/20	
Net cash from operating activities	1,809	1,453	▲ 356
<i>of which working capital movements</i>	453	(97)	▲ 550
Capital expenditure	(568)	(599)	
Disposal proceeds ¹	49	224	
Bank capital injections	-	(35)	
Lease repayments ²	(506)	(432)	
Retail free cash flow	784	611	
Dividends paid on ordinary shares	(232)	(247)	
Other ³	(74)	35	
Movement in net debt	478	399	
Opening net debt⁴	(6,947)	(7,346)	
Closing net debt⁴	(6,469)	(6,947)	
Of which:			
Lease liabilities	(5,829)	(5,768)	
Net debt excluding lease liabilities⁴	(640)	(1,179)	▼ (539)

Working capital movement



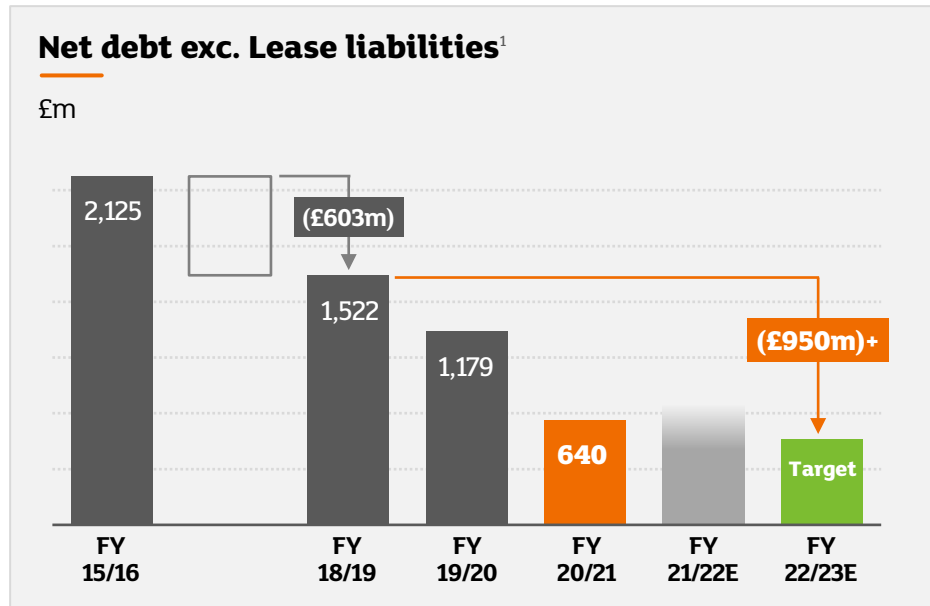
- 1 Includes dividends received from JVs, net of JV capital injections. FY19/20 included £143m of dividends received following sale of British Land
- 2 Includes initial direct costs on right-of-use assets
- 3 Includes the net movement to lease liabilities, reflecting non-cash additions in the period offset by payments made. Also includes cash impact of share purchases and share issuances.
- 4 Net debt definition excludes derivatives not linked to borrowings, and includes perpetual securities as debt

Retail free cash flow



Balance sheet targets

- Previous net debt reduction of £750m+ from 18/19 to 22/23 updated to **£950m+** reduction by 22/23
- Medium leverage reduction target:
Net debt/EBITDA² less than 3x



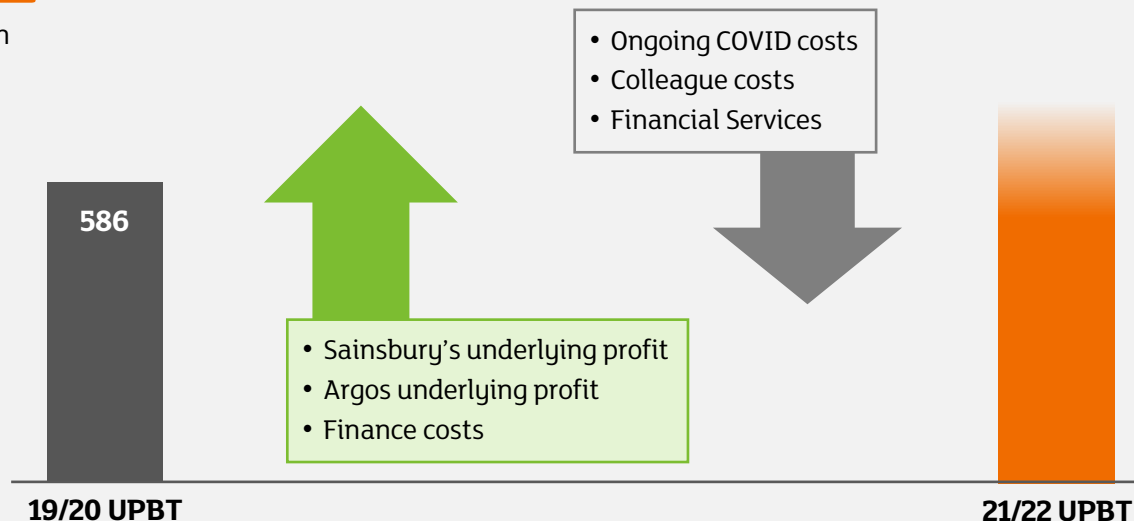
¹ Net debt definition excludes derivatives not linked to borrowings, and includes perpetual securities as debt

² Net debt (inc. perpetual securities) on a post-IFRS 16 basis divided by Group underlying EBITDA. Net debt/ EBITDA for FY20/21 was 3.4 times

Bridge to 21/22 UPBT

Drivers of 21/22 UPBT

£m



Guidance

- 2021/22 UPBT ahead of 2019/20, comfortable with consensus of around £620m¹
- Financial Services to return to profit in 21/22
- Net finance costs of around £340m-£350m, including around £290m-£300m lease interest

¹ Analyst consensus published on our website as at 9 February 2021

Summary and Outlook

Strong performance

- Excellent execution through a challenging year
- Strong, profitable digital sales growth in both Sainsbury's and Argos
- Offset by material COVID costs
- One-off costs reflecting accelerated ambition and change within strategy update
- Good underlying free cash flow generation
- Stable dividend payment

Outlook

- 2021/22 UPBT ahead of 2019/20, comfortable with consensus of around £620m¹
- Average free cash flow £500m+ p.a. 3 years to March 2025
- Upgrading net debt reduction target to £950m+ for four years to 22/23 (previously £750m+)

¹ Analyst consensus published on our website as at 9 February 2021

J Sainsbury plc

Simon Roberts
Chief Executive Officer



A year that has made us stronger



A year trading through COVID



A strong operating performance



A strong start towards delivering on our priorities

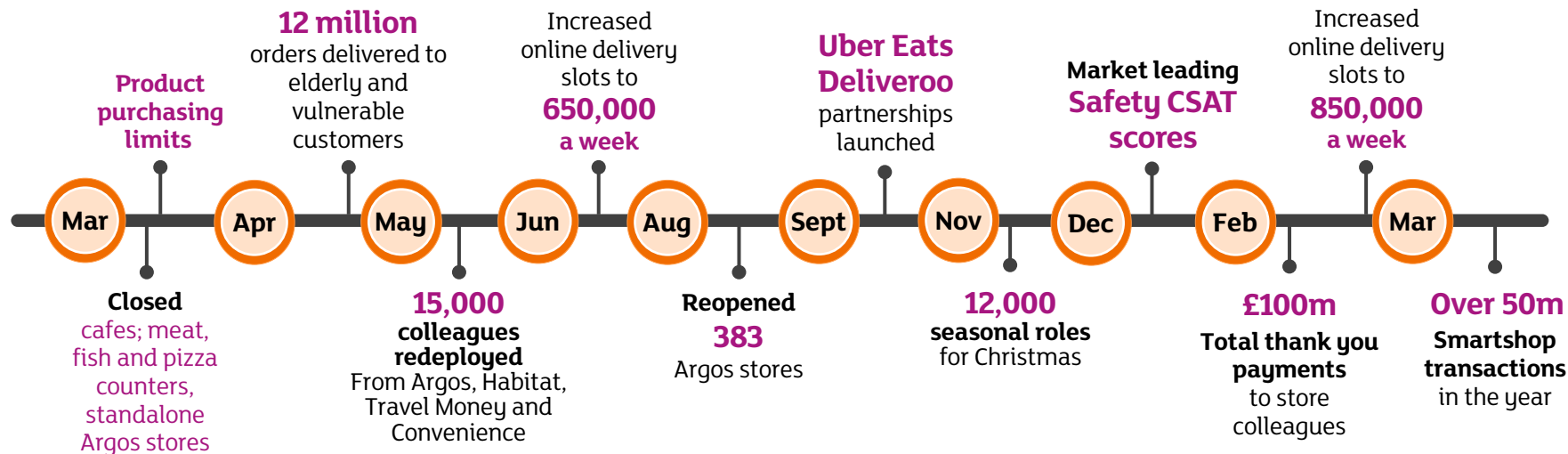
Food First
Brands that Deliver
Save to Invest



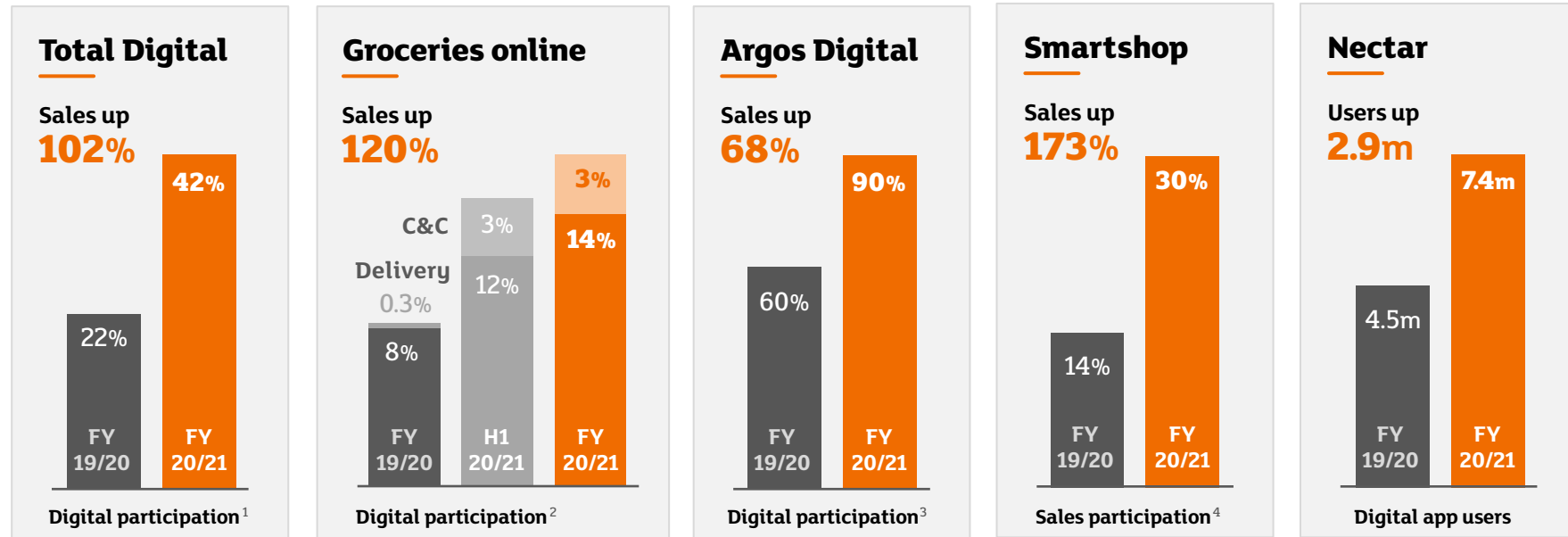
Bolder choices, bigger decisions, good momentum

More competitive and better positioned for a rapidly changing retail environment

Building momentum, closer to customers



Strong digital platform, enabling scale transformation



¹ Of total Retail sales exc. Fuel. Includes SmartShop sales

² Of total Grocery sales

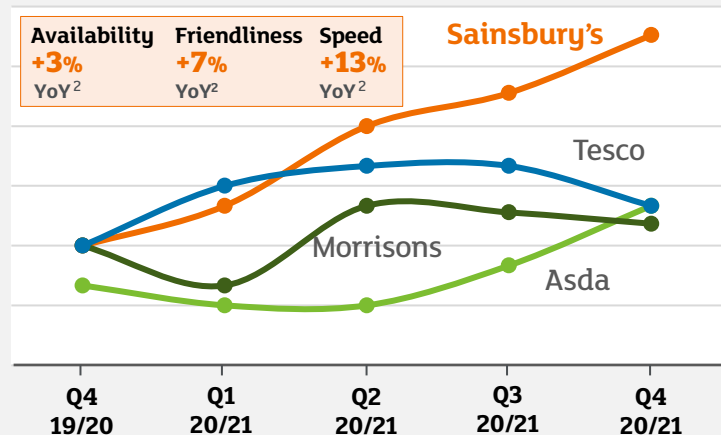
³ Of total Argos and Habitat sales

⁴ Participation in stores with handsets

Strengthened customer satisfaction

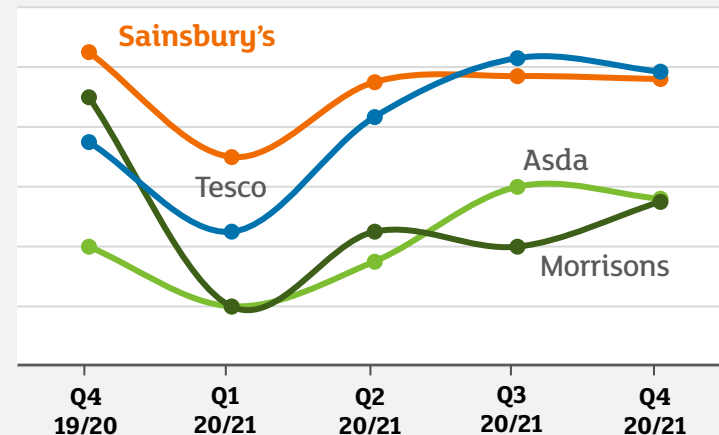
Supermarkets

Customer satisfaction index¹



Online

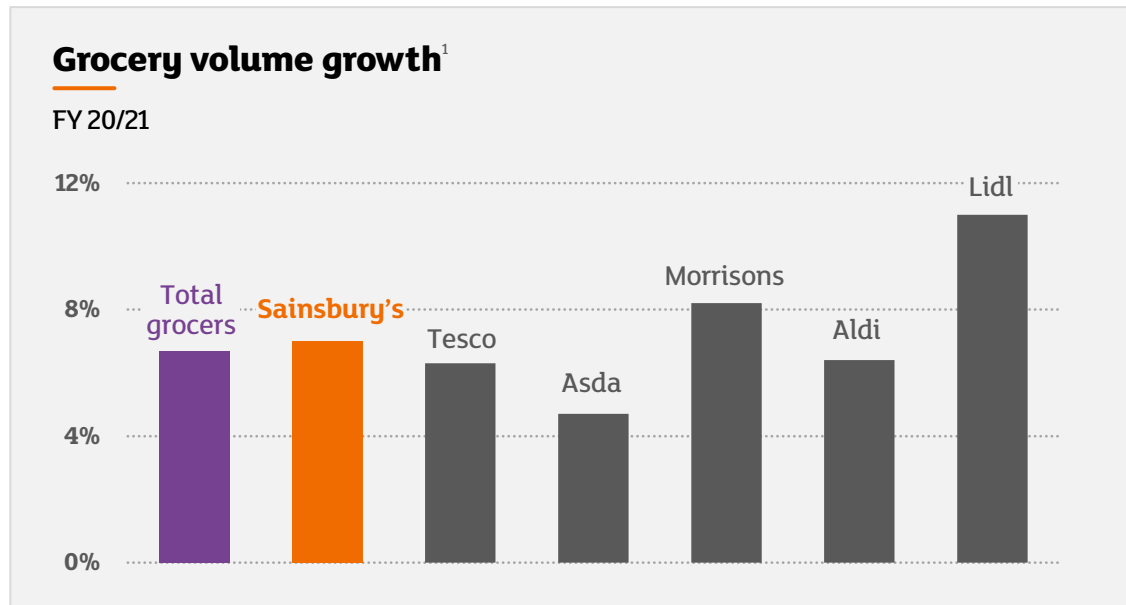
Customer satisfaction index¹



¹ Supermarket and Online customer satisfaction %. **Source:** Competitor benchmarking survey. Rolling 12 weekly scores

² **Source:** Lettuce Know

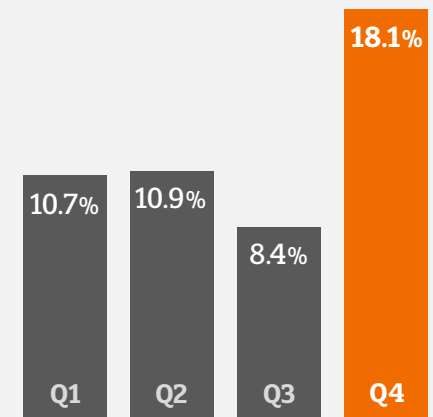
Growing ahead of the market



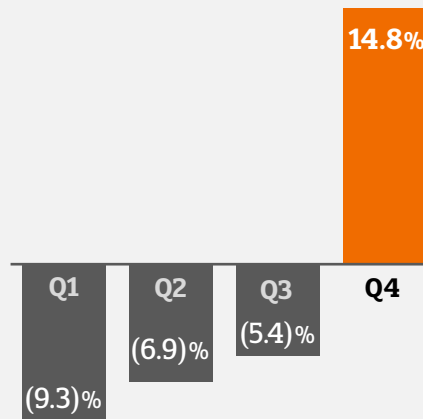
¹ Nielsen Panel volume growth YoY. Total FMCG (excluding Kiosk & Tobacco), 6 March 20/21 52 week data. Market Universe: Total Outlets.

General merchandise growth, clothing momentum

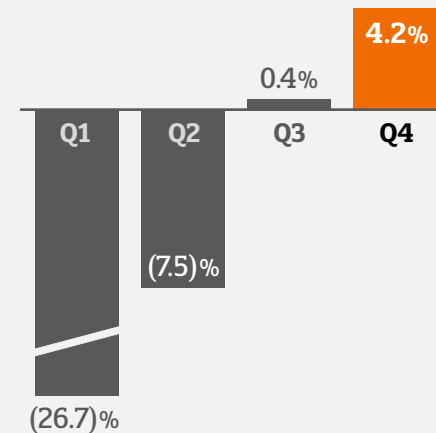
Argos



Sainsbury's GM



Clothing



Driven by our passion for food

Together we
serve and
help every
customer



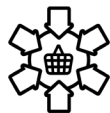
In the next 3 years we will transform our business

We are clear on our priorities



Food First

- Better value and innovation
- Underpinned by buying benefits and lower cost to serve



Brands that Deliver

- Customer and profit focus
- Supporting the core food business



Save to Invest

- Structurally lower operating costs to fuel investment in the core
- Cutting complexity and increasing pace of execution



Connected to Customers

Know and serve our customers better, use the power of Nectar



Net Zero 2040

Become net zero by 2040

Delivering against our plan

- » **Food back at the heart** of Sainsbury's
- » Portfolio brands supporting food, delivering for **customers and shareholders** in their own right
- » **Structurally lower cost to sales ratio** (by at least 200bps)
- » **Pursue partnerships** or outsource where faster
- » **Robust profit delivery**, consistent dependable cashflow
- » **8 key metrics**, consistent reporting, linked to incentives



8 key metrics

Delivering for customers and driving stronger financial outcomes

Operational

- Grocery market share performance
 - Strong customer satisfaction scores
 - Maintain strong colleague engagement
 - Deliver our Net Zero commitment
-

Financial

- UPBT growth
 - 200bps+ reduction in retail operating cost to sales
 - Dependable retail free cash flow: £500m+ pa average
 - Increase Return on Capital employed¹
-

¹ ROCE: return divided by capital employed. Return is defined as a 52 week rolling underlying profit before interest and tax. Capital employed is defined as group net assets excluding the pension deficit/ surplus and excluding net debt. The average is calculated on a 14 point basis



- Better value and innovation
- Underpinned by buying benefits and lower cost to serve

- Improve real and perceived **value for money**
- Increase **innovation** pace
- Grow **Online** capacity and extend routes to market
- Expand physical points of distribution, focusing on **Convenience**
- Deliver **Net Zero** commitment
- **Tailor** price, proposition and operations to catchments and local customers
- Adapt **supermarket formats** for changing role and to drive efficiency
- Focus **customer service and operational excellence** on what matters for customers

Delivering better value to customers: Price Lock

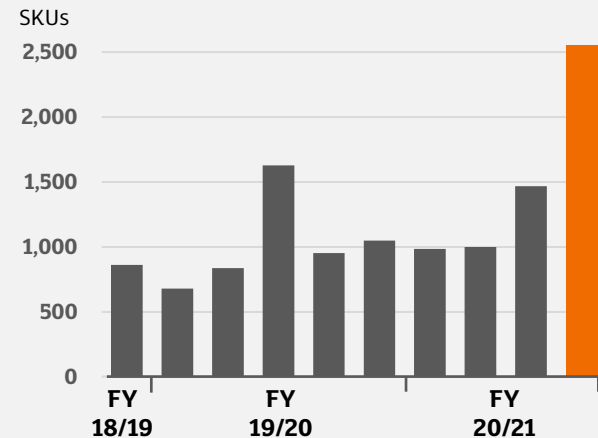


Price Lock

2,500+
SKUs

- Focus on stability of **everyday prices**
- **Primary** customers

Biggest ever Price Lock in Jan 2021



Delivering better value to customers: Centre of plate



Core, high volume investment

Halo driving categories

- Focus on core own brand products, especially **Fresh** categories, e.g. **Meat, Fish and Poultry**
- **Primary** customers



Delivering better value to customers: Sainsbury's Quality, Aldi Price Match



Sainsbury's Quality, Aldi Price Match

250+ SKUs

- Focus on **Fresh**: over **80%** of volume
- **Low Prices and Entry Price Point**
- **Secondary** customers



Early results: Significant improvement in value, strong customer response

Price index¹

vs
TESCO

Total
FY 21 vs FY20

improved
50bps

Centre of plate²
FY 21 vs FY20

improved
600bps

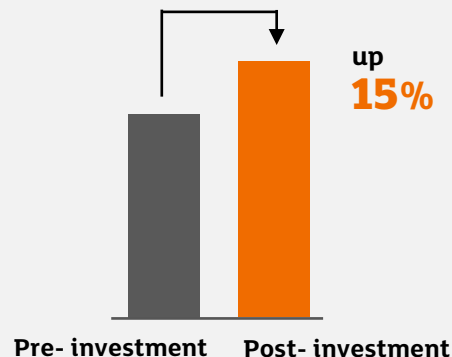
vs


improved
280bps

improved
890bps

Volume uplift³

Meat, fish and poultry



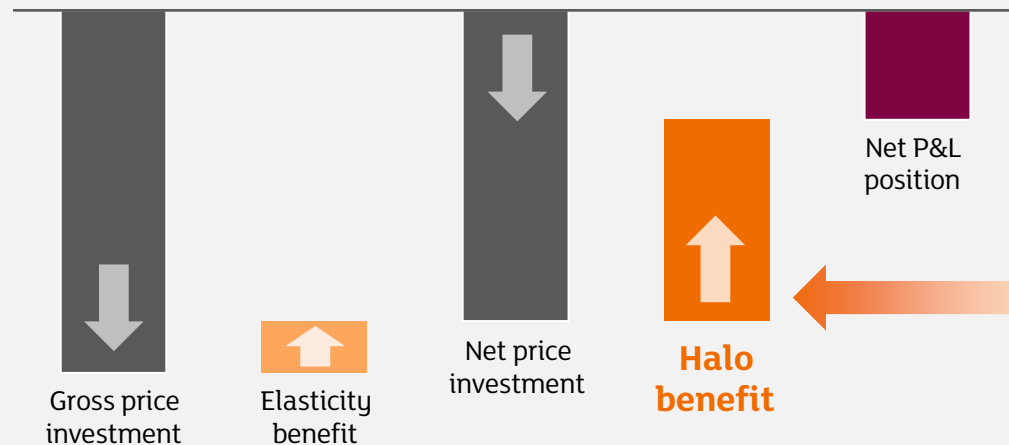
¹ Value Reality. Jan-Apr 2021 vs Jan-Apr 2020; Edge by Ascential; internal modelling

² Meat, fish and poultry

³ LFL volume growth of Q3 invested SKUs, pre vs post-investment, 8 weeks of post-launch data

Early results: Price investment driving volume uplift

Halo benefit from price investment



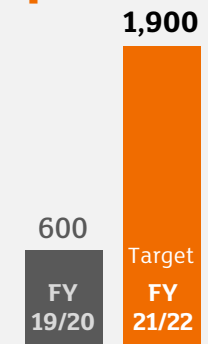
Key drivers of halo



Food Innovation: Transforming new product development

Tripling innovation

New own brand SKUs
more than
triple



Delivering across Food First

Trade Up



Value



Net Zero



Food Innovation: Spring / Summer launches



Suppliers supporting innovation and value

Transforming supplier relationships:

- Stronger partnerships
- Increased investment behind Sainsbury's
- Higher volumes
- Responsiveness to innovation

Top 10 supplier:

*"We have jointly demonstrated that we can **launch projects at pace** by taking complexity out"*

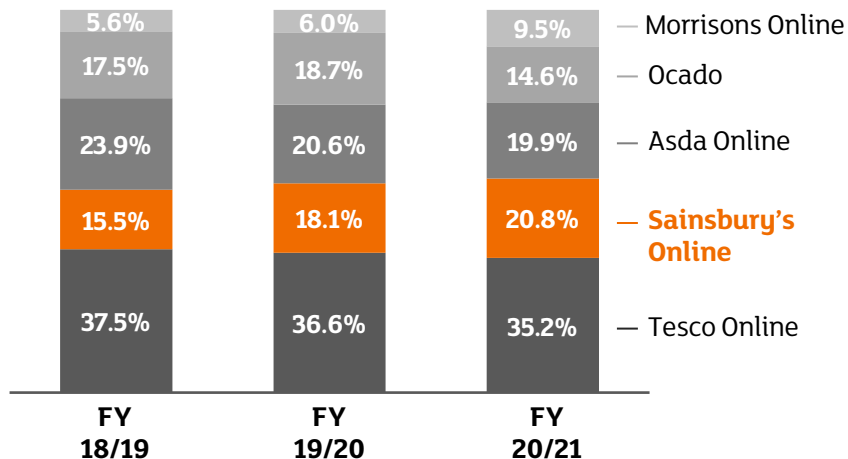
*"Sainsbury's have been able to launch products in areas where they can **differentiate their offer** versus the other Big 4 and particularly discounters"*



Strong online market share gains

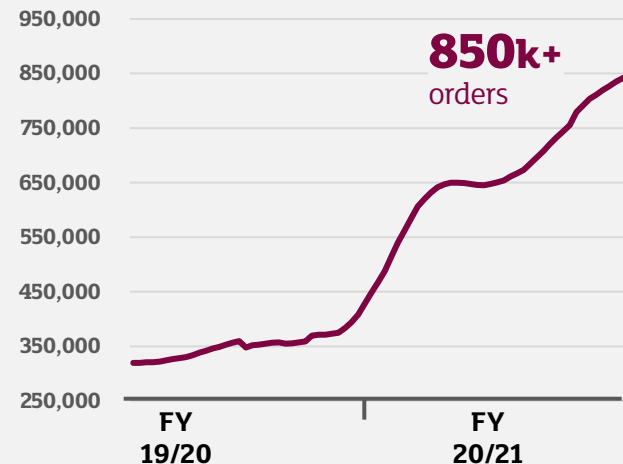
Biggest online market share winner¹

Share of top 5 competitors



¹ Source: Nielsen panel data , Value share of top 5 competitors

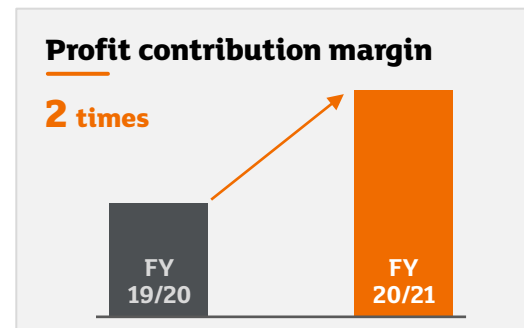
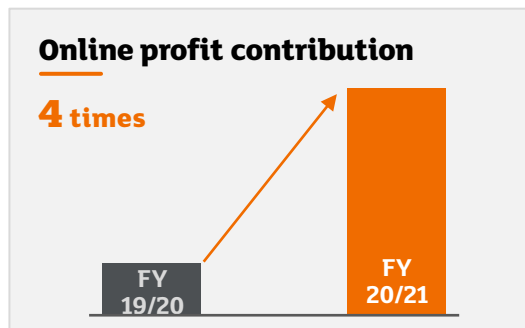
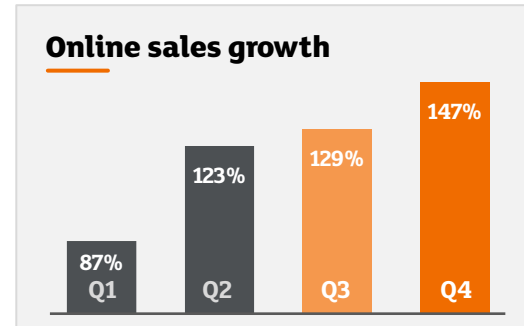
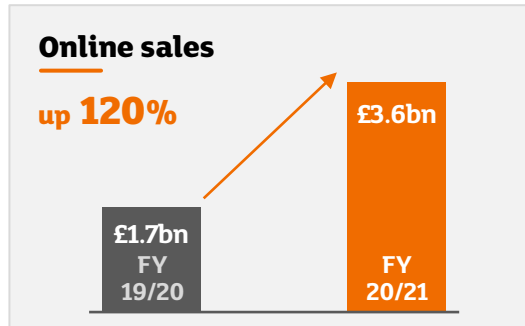
Orders more than doubled



Unique breadth of online grocery options for customers

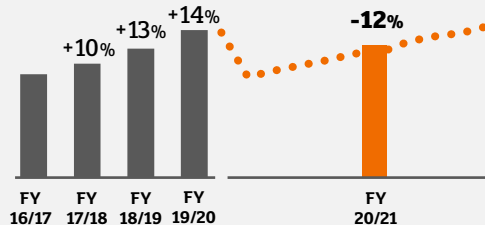
	 GOL Delivery	 GOL Click & Collect	 Chop Chop	 Deliveroo / Uber Eats
Stores	253	321	43	c.200
Cities & towns	98% UK population	98% UK population	17	37
Average basket size	c.£100	c.£100	£30-£35	£20-£25

Growing online momentum, growing profitably



Stronger online grocery economics

Items picked per hour (IPH)



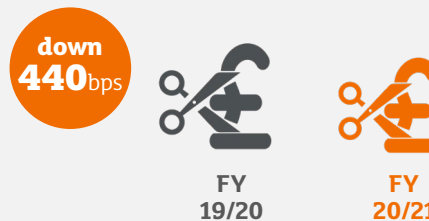
Orders per van per day



Basket size



Other operating cost/sales¹



¹ Excludes labour, shrink and waste costs

We make eating well
affordable, easy
and the best thing you've ever tasted

Healthier, tastier,
more sustainable food
cooked at home, enjoyed together

Help everyone eat better

Because all of us could eat a little better
No matter how much time or money people have





Net Zero

Reduce carbon emissions
within own operations
to Net Zero by 2040

GHG emissions

 **Down YoY**
3%

down 14% from 18/19 baseline

Healthy & sustainable diets
for all

Healthy products sold

 **Flat YoY**
55.3%

19/20 baseline

Reduce food waste
by 50% by 2030

Food waste
 **Down YoY**
16%

19/20 baseline

Reduce plastic packaging
by 50% by 2025

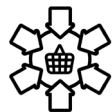
Food plastic packaging
 **Up YoY**
3%

down 1.7% from 2018 baseline

- **Value chain target:** reduce absolute GHG emissions by **30% by 2030**
- Working closely with our **global supplier base** to develop and meet their own targets
- We will **hold an ESG Day in June**

Sainsbury's





**Brands that
Deliver**

- Customer and profit focus
- Supporting the core food business



Focus on food, coalition
and data monetisation



Tu

habitat[®]

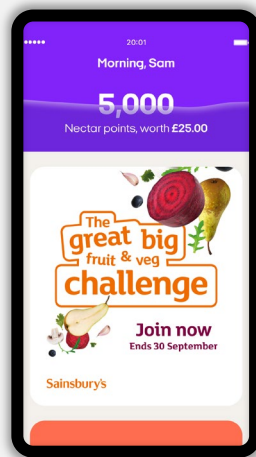
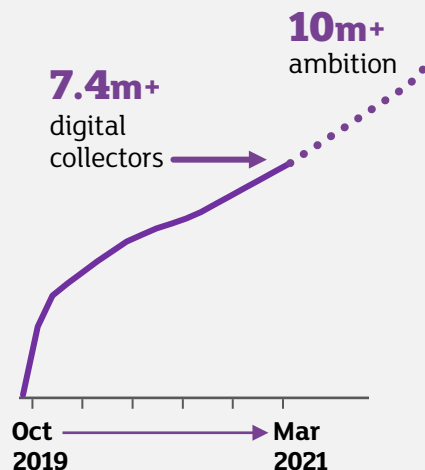
Reduce cost to serve
Improve profit delivery

**Sainsbury's
Bank**

Deliver 5 year plan

Nectar: strong digital platform, growing digital customer base

Digital Nectar



Nectar360: delivering for suppliers



6 million
impressions served to

119 thousand
households with

7.78%
conversion to brand

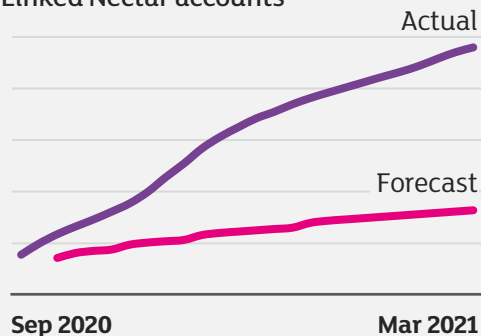
£1.25
ROI

Nectar: extending reach and strengthening the coalition

Integration of Argos

Argos Nectar spend participation
ahead of plan

Linked Nectar accounts



Launch of British Airways partnership

The advertisement is set against a deep blue underwater background with light rays filtering down. Two divers are visible, one in the foreground and one further back. The text 'IT STARTED WITH A BOX OF FISH FINGERS...' is centered in white. Below the image, the Sainsbury's logo is on the left, and the text 'COLLECT STORIES' and 'CONVERT YOUR NECTAR POINTS INTO AVIOS' is in the center. On the right, there are logos for Nectar, a double-headed arrow, and Avios.

BRITISH AIRWAYS

IT STARTED WITH A BOX OF FISH FINGERS...

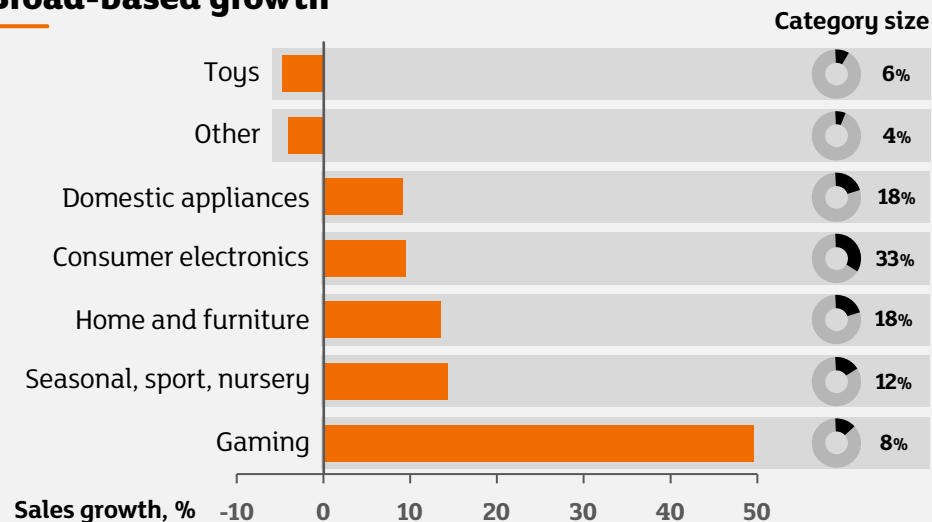
Sainsbury's

COLLECT STORIES
CONVERT YOUR NECTAR POINTS INTO AVIOS

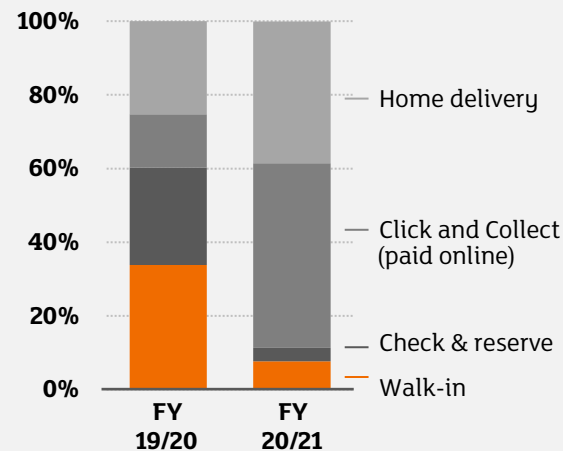
nectar avios

Argos: Over 3 million new customers

Broad-based growth

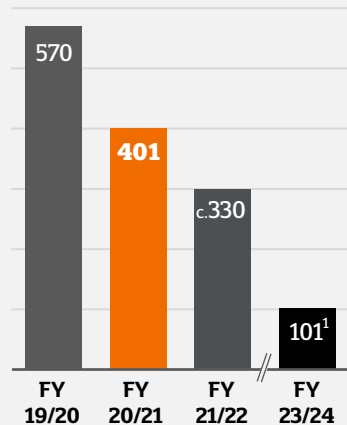


Flexible fulfilment options

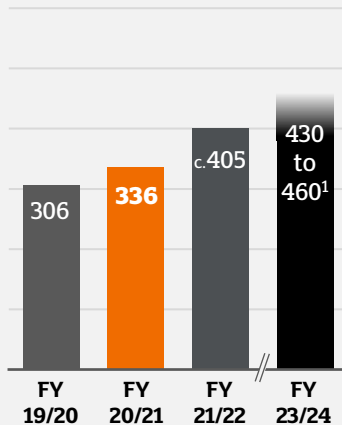


Argos transformation: lower cost to serve by £105m

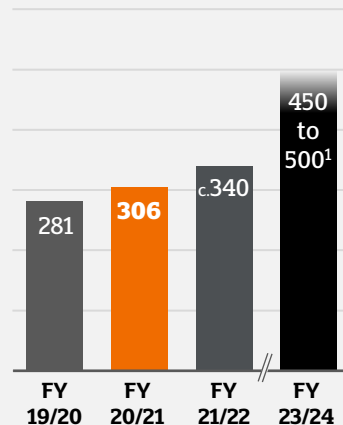
Standalone stores



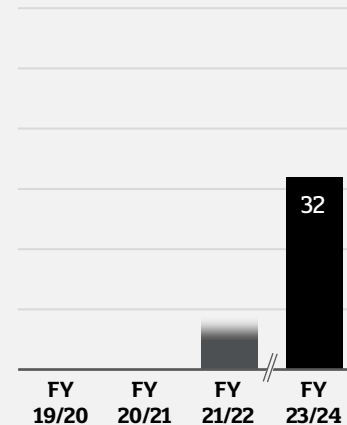
Argos stores in Sainsbury's



Collection points



Local fulfilment centres



1 exc. Republic of Ireland stores

Argos 2021/22: prudent sales outlook, higher profits



Drivers of 21/22 UPBT

£m

Sales:

- Caution on consumer spending
- Focus on profitable sales and categories
- Disciplined promotional strategy

Improved margin rate: proposition benefits

Cost transformation:

- Reduced rent and rates
- Lower Habitat operating costs
- Catalogue
- Check and Reserve

19/20 Argos
operating profit

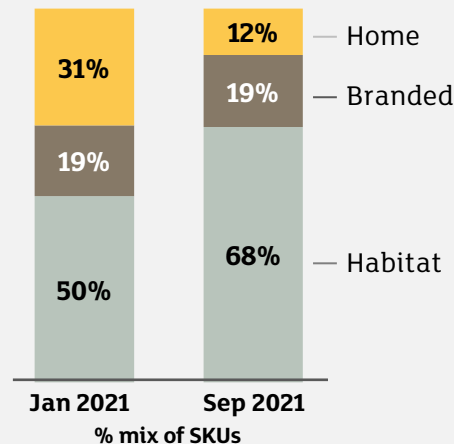
21/22 Argos
operating profit

Transforming Habitat reach and scale

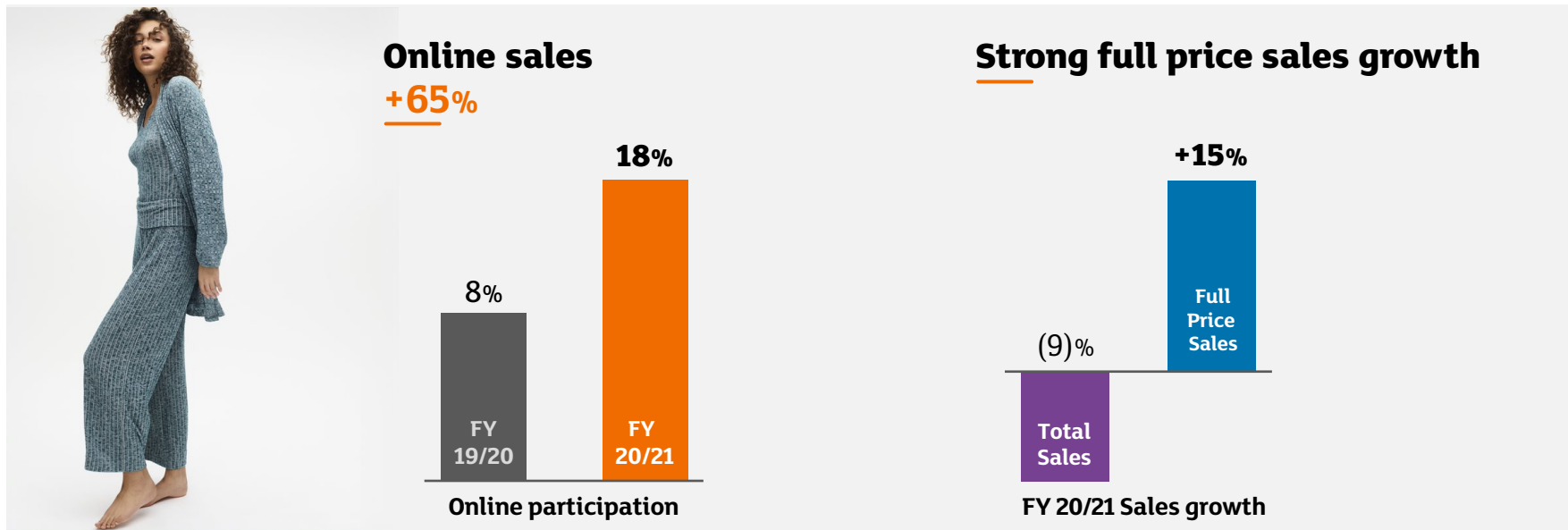


- Habitat brought together with Sainsbury's and Argos
- Lead Home and Furniture brand
- Over 1,000 new Habitat SKUs
- Improved market position for home and furniture
- Strong start: home and furniture sales up over 30% in February

Increase in Habitat Mix



A stronger clothing business



Financial Services

Material short term COVID-19 impact but on track to deliver FY24 strategic commitments

1 Stop putting cash into Financial Services	2 Improve returns	3 Financial services cash generative	4 Transform the cost base	5 Reduce risk profile to group	6 Focus on Sainsbury's customer base
No capital input from the group¹	Double UPBT³; double digit ROCE within 5 years	Upstream cash within 5 years²	Cost to Income c.50%³ within 5 years	Mortgage acquisition ceased; stable balance sheet	Increase connectivity and value for group

¹ Subject to regulatory changes/ requirements

² Subject to regulatory approval

³ On a Group contribution basis

Strong Financial Services platform

Customer NPS top quartile for Banks 	Over 77% Bank customers have a nectar card 	Argos Financial Services funded over £1bn Argos sales 
Two thirds Bank customers registered with online banking 	60% of Car and Home insurance customers self-serve online 	98% of Storecard sales through digital channels 



Save to Invest

- Structurally lower operating costs to fuel investment in the core
- Cutting complexity and increasing pace of execution

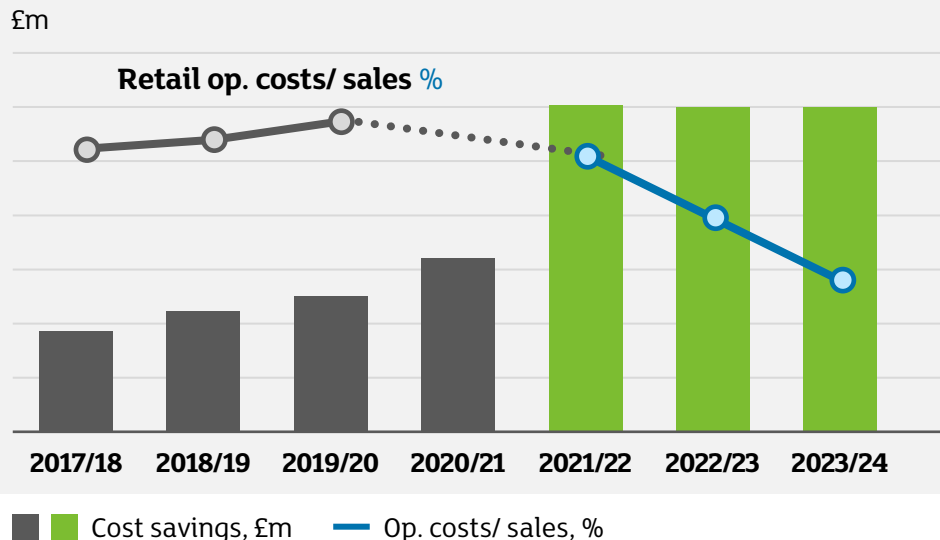
Structural change to accelerate cost reduction

- Reduce operating costs to **fuel investment in the core**
- Transform our approach to costs and radically simplify our organisation
- Reduce retail operating costs to sales by more than **200bps**
- Work with suppliers to drive value



Strategic cost reduction

Reduce retail operating costs/ sales % by 200 bps+

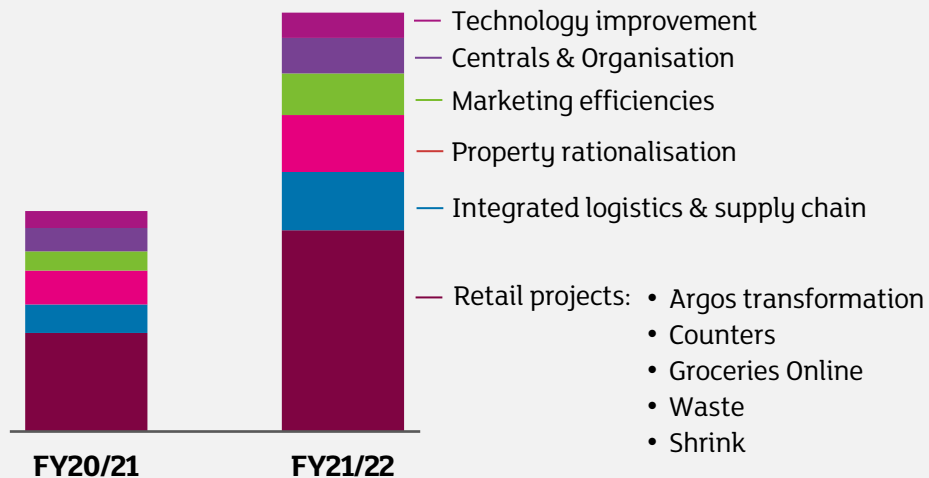


Accelerated cost saving plans

- Addressing inflationary cost pressures and volume related increases
- Meeting increased groceries online demand
- Creating additional annualised capacity creating firepower to invest in the offer and drive returns
- Key programmes underway

Ambitious cost programme on track

Key cost savings programmes





Key cost saving programmes

£105m

Argos store transformation and fulfilment model

- Store rationalisation
- Local Fulfilment Centre programme

£70m-100m

Centrals and Organisation support costs

- Reduction of central support roles
- Office space reduced
- New ways of working

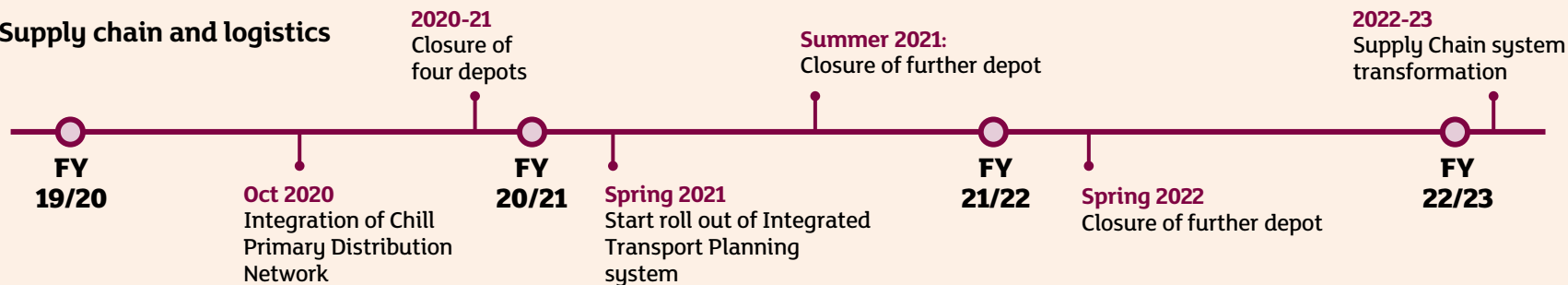
£60m

Counters

- Lower cost to serve
- Reduced waste

£150m

Supply chain and logistics



Moving at pace to change the business

- » **Food back at the heart** of Sainsbury's
- » Portfolio brands supporting food, delivering for **customers and shareholders** in their own right
- » **Structurally lower cost to sales ratio** (by at least 200bps)
- » **Pursue partnerships** or outsource where faster
- » **Robust profit delivery**, consistent dependable cashflow
- » **8 key metrics**, consistent reporting, linked to incentives



Delivering for shareholders

Profit inflection

- Cost transformation: 200bp+ reduction in cost to sales
- Working with suppliers to unlock value
- Funding stronger food performance
- 2021/22 UPBT higher than 2019/20¹

High returning capital projects

- Reducing cost to serve and improving working capital
- Argos transformation capital cost £143m, annual cost reduction £105m²
- Logistics and infrastructure capital cost £209m, annual cost reduction £150m²

Strong free cash flow

- £950m+ net debt reduction March 2019 to March 2023
- £500m+ average FCF for the three years to March 2025
- Sustainable, well covered dividend

8 key metrics

Delivering for customers and driving stronger financial outcomes

Operational

Grocery market share performance

Strong customer satisfaction scores

Maintain strong colleague engagement

Deliver our Net Zero commitment

Financial

UPBT growth

200bps+ reduction in retail operating cost to sales

Dependable retail free cash flow: £500m+ pa average

Increase Return on Capital employed

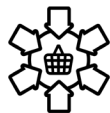
In the next 3 years we will transform our business

We are clear on our priorities



Food First

- Better value and innovation
- Underpinned by buying benefits and lower cost to serve



Brands that Deliver

- Customer and profit focus
- Supporting the core food business



Save to Invest

- Structurally lower operating costs to fuel investment in the core
- Cutting complexity and increasing pace of execution



Connected to Customers

Know and serve our customers better, use the power of Nectar



Net Zero 2040

Become net zero by 2040

J Sainsbury plc

Appendices



Guidance for 2021/22

Profit

- Group UPBT in FY21/22 to exceed level reported in FY19/20, comfortable with consensus of around £620m¹

Space

- In FY21/22, Sainsbury's expects to open four supermarkets and around 25 new convenience stores, and to close around 5 supermarkets and around 25 convenience stores
- In FY21/22, Argos expects to open around 70 stores in Sainsbury's, and to close around 70 Argos standalone stores
- The standalone Argos store estate will reduce to around 100 stores by March 2024, while the number of Argos stores in Sainsbury's supermarkets will increase to 430-460, and the number of Argos collection points will increase to 450-500

Depreciation and amortisation

- Expect depreciation and amortisation of around £1.2bn, including around £500m right of use asset depreciation

Financial Services

- Financial Services expects to return to profit in FY21/22
- No capital injections into the Bank are expected

Items outside of underlying

- Restructuring, impairment and integration one-off costs of £900m-£1bn from FY20/21 to FY23/24 (c. £300m cash). Of this, £643m incurred in FY20/21
- We expect to incur the remaining costs evenly over the next 3 years, including £125m of restructuring cash costs in 2021/22

Finance costs

- Net finance costs of around £340m-£350m, including around £290m-£300m lease interest

Dividend

- We expect to maintain a policy of paying a dividend covered 1.9x by underlying earnings

Capital expenditure

- Core retail cash capital expenditure is expected to be around £700-750m in the 3 years to March 2024, reflecting investment in high-returning supply chain, logistics and infrastructure projects

Net debt and Cash flow

- Expect non-lease net debt to reduce by at least £950m over the four years to 22/23
- Expect to generate average retail free cash flow of at least £500m over three years to FY24/25

Pension

- Cash contributions for 2021/22 are expected to be c. £76 million

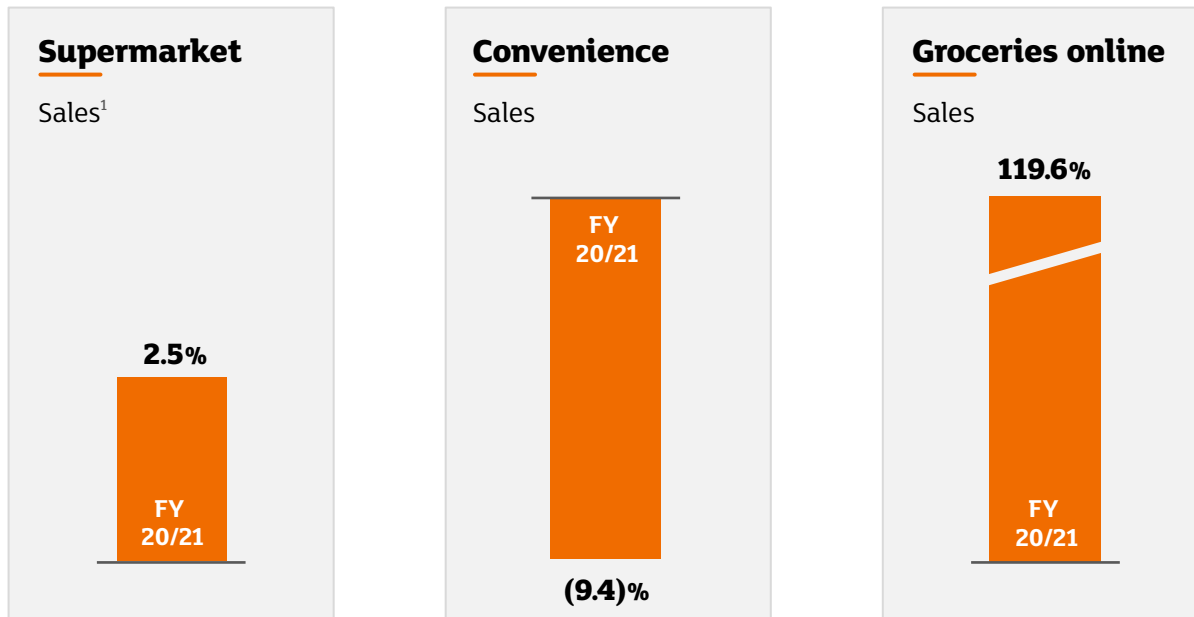
Leverage

- Medium term leverage reduction target of Net Debt/EBITDA of less than 3x

Tax rate

- Expect an underlying tax rate in 2021/22 of around 25 per cent

Grocery sales growth by channel



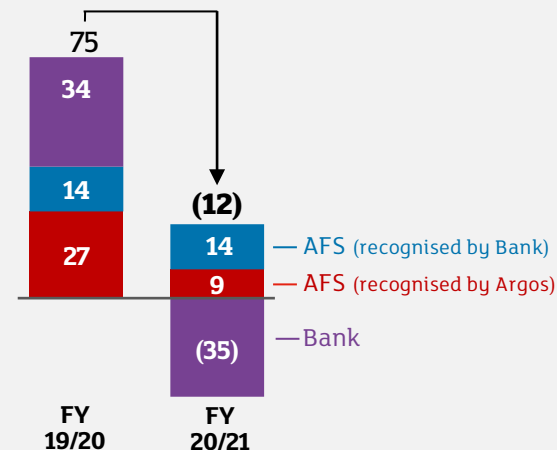
1 inc. Argos stores in Sainsbury's

Financial Services

Group contribution basis	FY 2020/21	FY 2019/20		Change
Total income ¹	£350m	£457m	↓	23%
Underlying operating profit	£(12)m	£75m	↓	116%
Customer lending ²	£5.4bn	£7.4bn	↓	£2.0bn
Customer deposits	£5.1bn	£6.3bn	↓	£1.2bn
Active customers – Bank	1.8m	2.1m	↓	14%
Active customers – Argos FS	2.2m	2.2m	↔	0%
Cost/income ratio	72%	66%	↑	6%
Net interest margin ³	3.5%	3.4%	↑	10bps
Bad debt as a percentage of lending ⁴	1.8%	1.1%	↑	70bps
CET 1 Ratio ⁵	17.6%	14.1%	↑	350bps
Total Capital Ratio ⁶	20.2%	17.0%	↑	320bps
Liquidity Coverage Ratio ⁷	194%	145%	↑	49%
Total Resource ⁸	2,015	2,226	↓	9%

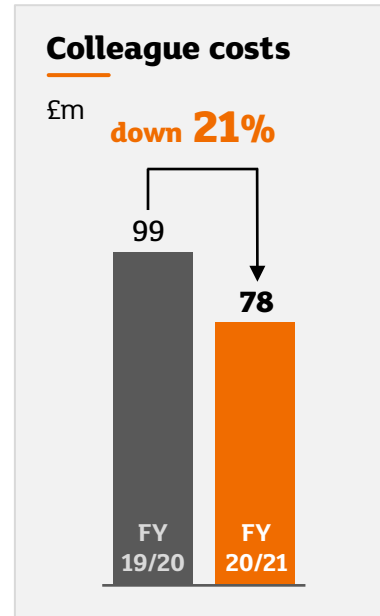
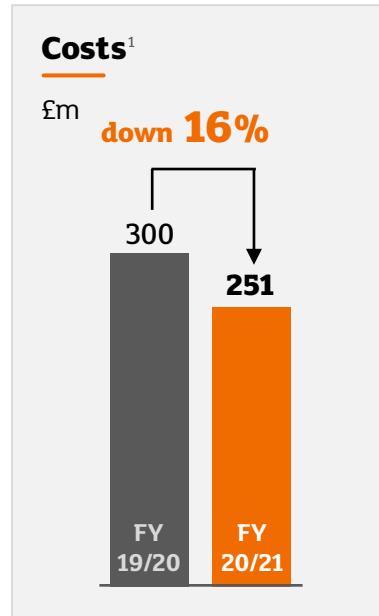
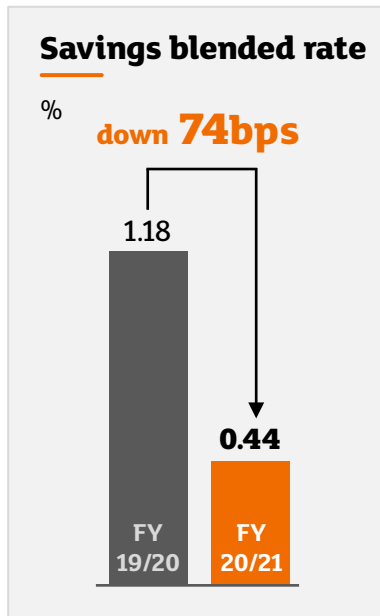
Financial Services UPBT

£m, Group Contribution



- 1 Net interest, net commission and other operating income
- 2 Amounts due from customers at the Balance Sheet date in respect of loans, mortgages, credit cards and store cards net of provisions
- 3 Net interest receivable / average interest-bearing assets
- 4 Bad debt expense / average net lending
- 5 Common equity tier 1 capital / risk-weighted assets
- 6 Total capital / risk-weighted assets
- 7 Liquidity coverage ratio 12 month average
- 8 FTE and contractors

Financial Services: additional metrics



¹ Group contribution basis

Sainsbury's sales area and store numbers

As at 6 March 2021

Supermarkets

	Area (‘000 sq ft)	Number
Opening figures 2020/21	21,167	608
New stores	18	1
Closures	(193)	(11)
Replacement stores	-	-
Extensions / refurbishments / downsizes	(170)	-
Space optimisation	-	-
Closing figures FY 2020/21	20,822	598

Convenience

	Area (‘000 sq ft)	Number
Opening figures 2020/21	1,898	807
New stores	44	15
Closures	(18)	(9)
Replacement stores	-	-
Extensions / refurbishments / downsizes	5	-
Space optimisation	-	-
Closing figures FY 2020/21	1,929	813

Total

	Area (‘000 sq ft)	Number
Opening figures 2020/21	23,065	1,415
New stores	62	16
Closures	(211)	(20)
Replacement stores	-	-
Extensions / refurbishments / downsizes	(165)	-
Space optimisation	-	-
Closing figures FY 2020/21	22,751	1,411

Sainsbury's store estate

As at 6 March 2021

Number of stores

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	813	0	0	0	0	813
Supermarkets	45	118	193	178	64	598
Total stores	858	118	193	178	64	1,411

Space by store size ('000 sq ft)

Sq ft sales area	Under 10,000	10,000 to 20,000	20,001 to 40,000	40,001 to 60,000	Over 60,000	Total
Convenience	1,929	-	-	-	-	1,929
Supermarkets	343	1,782	5,713	8,651	4,333	20,822
Total stores	2,272	1,782	5,713	8,651	4,333	22,751

Argos and Habitat store numbers

	As at 7 March 2020	New stores	Disposals/ closures	As at 6 March 2021
Argos stores	570	1	(170))	401
Argos in Sainsbury's	306	30	-	336
Argos in Homebase	6	-	(6)	-
Other	-	-	-	-
Argos total store numbers	882	31	(14)	737
Habitat ¹	16	-	(13)	3
Collection points	281	35	(10)	306
Total Argos and Habitat points of presence	1,179			1,046

Sainsbury's investment programme

FY 2020/21

Supermarket

New stores

Brackley Q3

Refurbishment

Hempstead Valley Q4

Closures

Swindon Q3

South Harrow Q4

Portsmouth Q4

Gloucester Q4

Crawley Q4

Bletchley Q4

Stockport Q4

Andover Q4

Olympia Q4

Clacton On Sea Q4

Northampton Q4

Convenience

New stores

Milton Wootton, Folkes Road Q2

Greenwich, Banning Street Q2

Leicester Square Q2

Camden, Abbey Road Q2

Swindon - Tadpole Garden Village Q2

Upper Heyford Camp Road Q3

London City Island Q3

Banbury - Warwick Street Q3

Bishops Waltham - Winchester Rd Q3

Midhurst - Bepton Rd Q3

Twickenham Station Q4

Portsmouth Commercial Road Q4

Corby - Priors Hall Park Q4

Hackney Wick - Wallis Road Q4

Hounslow West Station Q4

Closures

Garforth Loc Q2

Liverpool Bold St Q3

Eastwood Nottingham Road Local Q3

Swansea Gower Rd Loc Q3

Hunters Hill Loc Q3

Blackpool Whitegate Drive Loc Q3

Sale Washway Rd Loc Q4

Ruddington Wilford Rd Loc Q4

Staincliffe Loc Q4

Retail margin

As of 6 March 2021

£m	FY 2020/21	FY 2019/20	Change
Retail sales (inc VAT, inc fuel)	31,854	31,825	0.1% ▲
Retail sales (ex VAT, inc fuel)	28,618	28,424	0.7% ▲
Retail underlying EBITDA ¹	1,909	2,135	10.6% ▼
Retail underlying EBITDA margin % ²	6.67	7.51	84bps ▼
at constant fuel prices	6.60	7.51	91bps ▼
Retail underlying operating profit ³	730	938	22.2% ▼
Retail underlying operating margin % ⁴	2.55	3.30	75bps ▼
at constant fuel prices	2.52	3.30	78bps ▼

¹ Retail underlying operating profit before underlying depreciation and amortisation of £1,179 million. Following the adoption of IFRS16, EBITDA and EBITDAR are broadly consistent measures and so we are now disclosing EBITDA only in this table. Non IFRS 16 rental expense was £5 million in 2020/21 and £10 million in the prior year.

² Retail underlying EBITDA divided by underlying retail sales excluding VAT

³ Retail underlying earnings before interest, tax and Sainsbury's underlying share of post-tax profit from joint ventures

⁴ Retail underlying operating profit divided by underlying retail sales excluding VAT

Group retail

	FY 2020/21	FY 2019/20
Return on capital employed ¹	5.5%	7.4%
Net debt to EBITDA ²	3.4x	3.2x
Fixed charge cover ³	2.4x	2.7x
Underlying tax rate	29.5%	25.4%
Core retail capex / sales ⁴	2.0x	2.2x

¹ ROCE: Return is defined as a 52 week rolling underlying profit before interest and tax. Capital employed is defined as group net assets excluding the pension deficit/surplus and excluding net debt. The average is calculated on a 14 point basis.

² Net debt of £6,469 million includes lease obligations under IFRS 16 and perpetual securities treated as debt, divided by Group underlying EBITDA of £1,901 million.

³ Group underlying EBITDA divided by rent (both capital and interest) and net underlying finance costs, where interest on perpetual securities is treated as an underlying finance cost.

⁴ Includes retail sales inc vat ex fuel

Supplementary financial details

1. Weighted average number of shares

FY 2020/21 was 2,210.0m (and 2,327.3m diluted)

FY 2019/20 was 2,207.6m (and 2,470.0m diluted)

2. Dividend

	2020/21	2019/20
Interim	3.2p	3.3p
Final	7.4p	-
Special	-	7.3p ¹
Total	10.6p	10.6p¹

The final dividend dates:

	Ordinary shares
Ex-dividend	10 June 2021
Record	11 June 2021
Payment	16 July 2021

3. Financial calendar

Q1 trading statement 6 July 2021
(16 weeks to 26 June 2021)

Interim results 4 Nov 2021
(26 weeks to 18 Sept 2021)

¹ Special dividend in 2020/21 of 7.3p paid in lieu of final dividend for 2019/20 following the deferral of dividend decision. The total dividend paid in respect of each year is equal at 10.6p per share